

Asian Paints Indian Multi-National Paint and Coating Manufacturing Company (ASIANPAINT)

Sector: Materials

ROE

29.7%

ROCE

31.8%

D/E

0.13x

OPM

21.4%

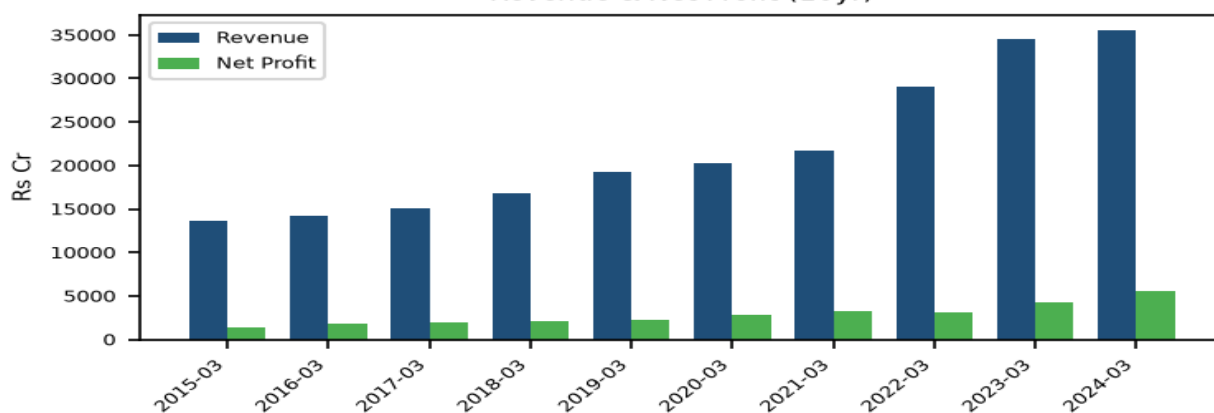
Revenue CAGR 5yr

13.0%

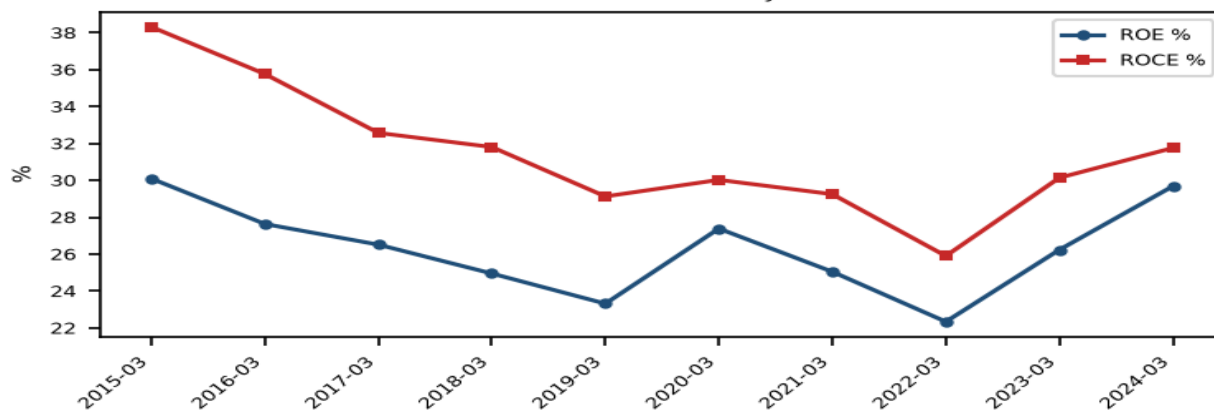
Free Cash Flow

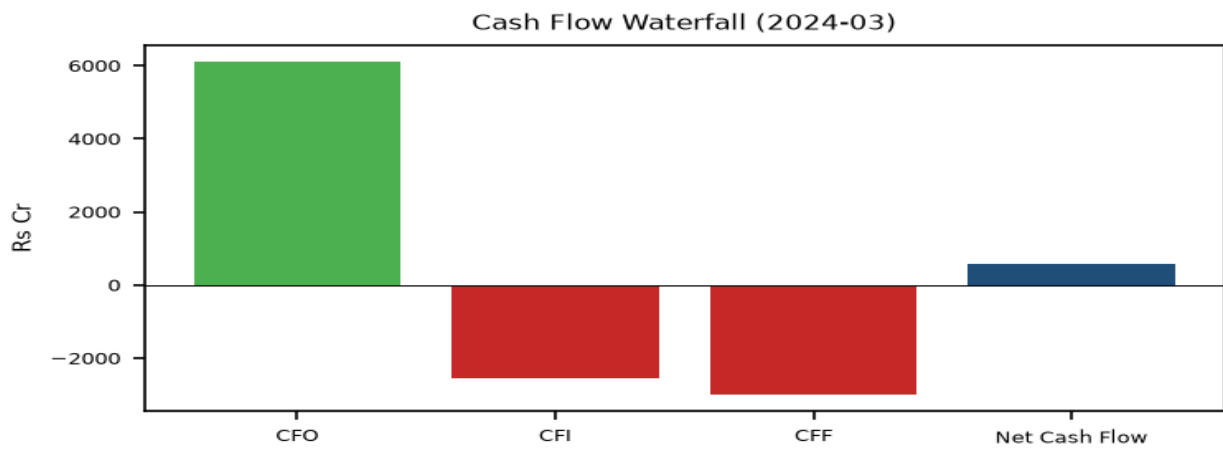
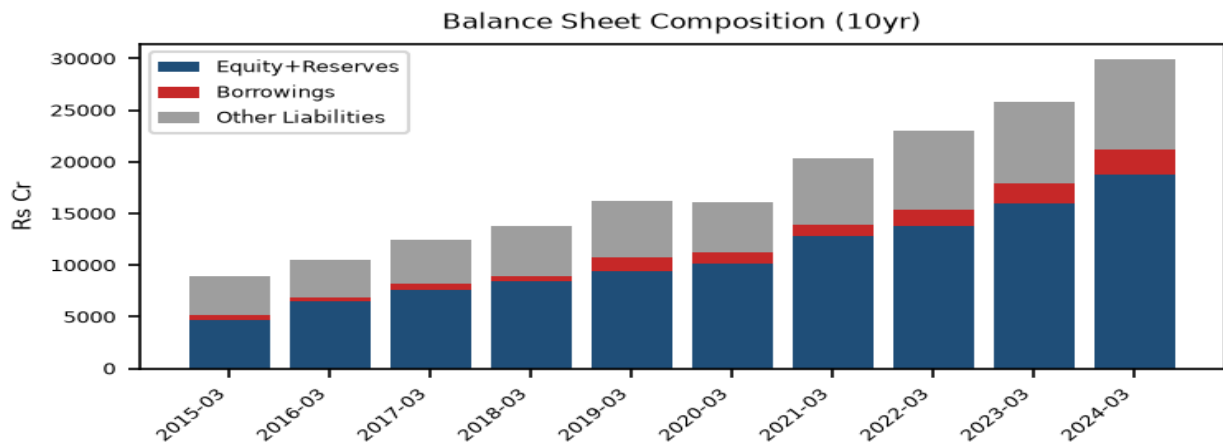
Rs 3,556 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Shareholder Returns